While the Indian spies flirted with warlords, a large number of Afghan politicians and activists were arrested and jailed on charges of conspiring against the government. More than two hundred anti-Taraki elements including Nizamuddin Tehzib, the former minister of frontier affairs, Usman Rasikh, the former governor of Badakhshan and Dr Farooq, the former president of public health, were also taken into custody in February 1979. According to the spies, clashes between Taraki and anti-Taraki army officers in and around Kabul had become a routine affair. The president was forced to order an overhaul of Afghan intelligence to gather inputs on his enemies' moves. In March 1979, the intelligence gathering units of Afghan civil and military setups were merged to form an organisation known as AGSA (Department for Safeguarding Interests of Afghanistan). Major Assadullah, a former air force pilot and a Taraki loyalist, was appointed as head of this new omnibus intelligence organisation.

To protest the abduction and assassination of the US ambassador, US aid to Afghanistan was reduced to approximately $3 million, from the previous annual figure of approximately $ 15 million.

Indian agents on the ground reported that the Taraki government's various social measures were moving swiftly and a crucial land reform was being implemented more rapidly and with greater success than even the government had dared to expect. But the leftwing People's Democratic Party of Afghanistan (PDPA) was split into two factions—Khalq and Parcham. Taraki headed Khalq and Par-cham was led by Babrak Karmal. Each faction strongly resented the other.